# FARM TO FORTUNE

**INDIA IS BOLSTERING ITS COOPERATIVE NETWORKS AND FARMER PRODUCE ORGANISATIONS TO TRANSFORM THE FOOD PROCESSING SECTOR. THE EMPHASIS ON MILLETS IS ALSO EXPECTED TO USHER IN RADICAL CHANGE**



**GETTING MARKET-READY** An integrated consumer goods manufacturing facility of ITC Ltd at Panchla (Howrah), West Bengal

**In a nation with a population** of 1.4 billion, where each household wastes an average of 50 kg of food annually, the scale of loss is immense. The consequences extend beyond the $12.4 billion (Rs 1.03 lakh crore) worth of discarded produce; it also hampers GDP growth. While India has made moderate strides in the processing of meats and cereals, its progress in fruit and vegetable processing has been limited. Nevertheless, with an emphasis on millets, India is positioning itself to be at the forefront of a new revolution.

The current year is being celebrated as the International Year of Millets. India stands as the world's largest millet producer. Companies ranging from large corporations like ITC, Britannia and Hindustan Unilever Ltd to smaller entrepreneurs in places like Jaito in Punjab and Raipur in Chhattisgarh are gearing up to place their millet-based products on market shelves. In the previous fiscal year, India's exports of processed food totalled just under $24 billion (Rs 2 lakh crore), yet the domestic market is expected to swell to $535 billion (Rs 44.5 lakh crore) in the next two years. Millets are expected to play a substantial role in this expansion.

Unlike other perishable foods like fruits, vegetables and meats, millets are far more manageable and can be stored for over 15 years. This ease of handling facilitates processing planning. Given its perceived health benefits, particularly in the post-Covid era, processors expect a rise in demand. Millets have become a focal point of discussion among food processors. Last year, India introduced a production-linked incentive scheme to encourage the production and sale of millet-based ready-to-cook and ready-to-eat products. As of now, around 30 players are actively participating in the sector.

**50 KG**
**The volume of average annual food wastage by each Indian household**

**$535 BILLION**
**Domestic market of processed food India anticipates in the next two years**

## WHY IT IS A GAME CHANGER

Following a lack of success in implementing agricultural sector reforms in 2020-21 and only modest achievements in attracting investments for large-scale food processing units, India is now concentrating on bolstering cooperative networks and farmer produce organisations. These endeavours are supported by a series of reforms implemented at various levels, encompassing the overhaul of multi-state cooperative laws, the adjustment of Reserve Bank of India controls, and the encouragement of states to change their legislations. These efforts are further reinforced by incentives to establish and manage these farmer collectives.